

SPX SPINOFF TRADING STRATEGY

Systematic Backtest Report

Generated: March 07, 2026

STRATEGY SUMMARY

- Universe: S&P 500 spinoff stocks (parent was SPX member at spinoff date)
- Entry Rule: Buy 30 calendar days after spinoff listing
(allows index funds & forced sellers to finish dumping shares)
- Exit Rule: Sell after 365 calendar days (~1 year) from entry
- Sizing: Equal weight per trade
- Benchmark: SPY (S&P 500 ETF, total return)
- Data: Yahoo Finance adjusted closes

KEY RESULTS

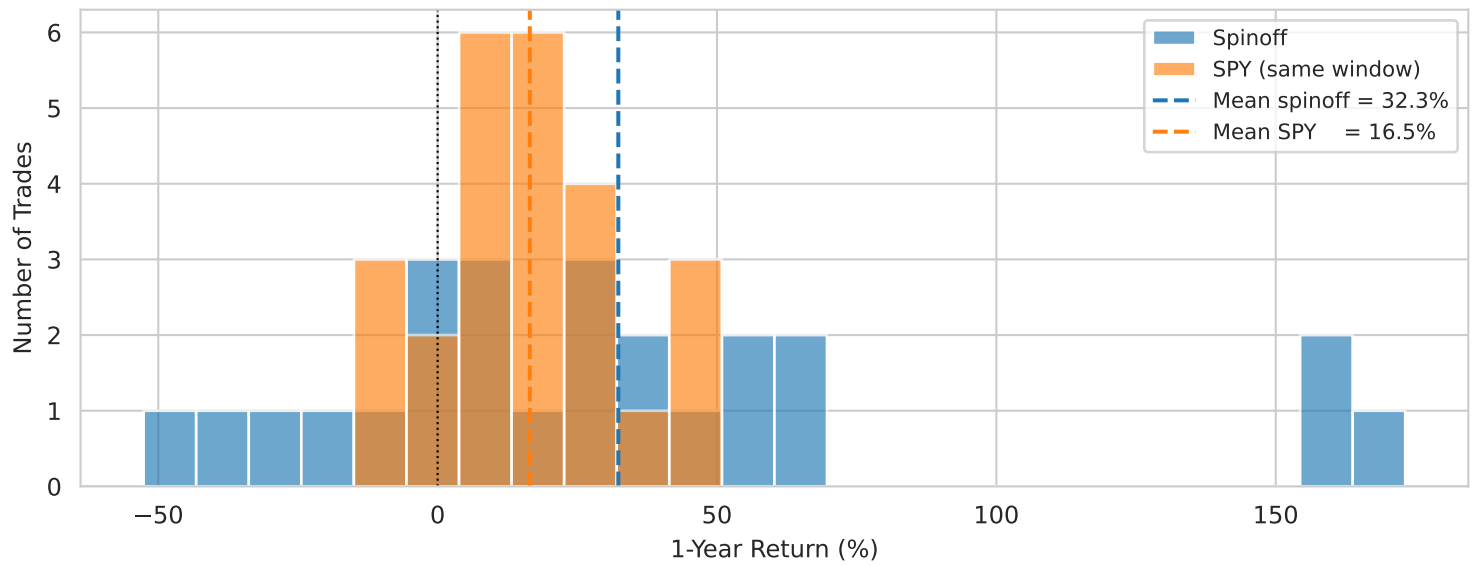
Closed Trades:	25		Win Rate:	+76.0%	(% trades positive)
Beat SPY Rate:	+52.0%	(% trades > benchmark)	Mean Return:	+32.3%	(per trade, ~1yr hold)
Median Return:	+27.8%		Mean Alpha:	+15.8%	(vs SPY same period)
Info Ratio:	0.33	(alpha / std alpha)	p-value:	0.117	(H ₀ : alpha=0)
Best Trade:	+168.2%		Worst Trade:	-47.6%	

DISCLAIMER

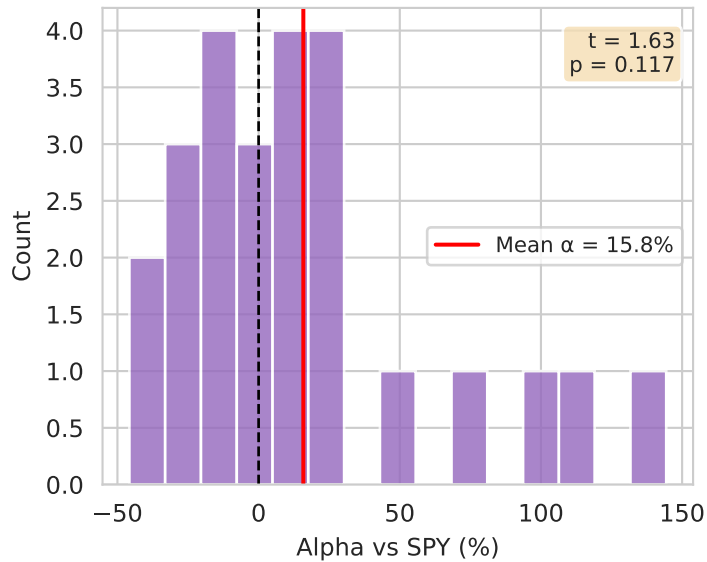
This report is for educational and research purposes only. Past performance does not guarantee future results.
Strategy returns are gross of transaction costs, slippage, and taxes. Live trading results will differ.
Spinoff returns may be partially explained by survivorship bias in data availability.

Return Analysis

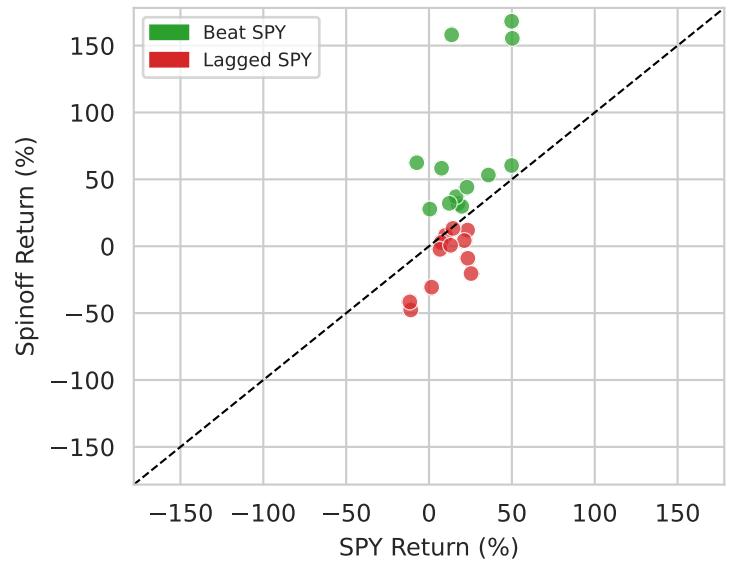
(a) Distribution of 1-Year Returns: Spinoff vs SPY



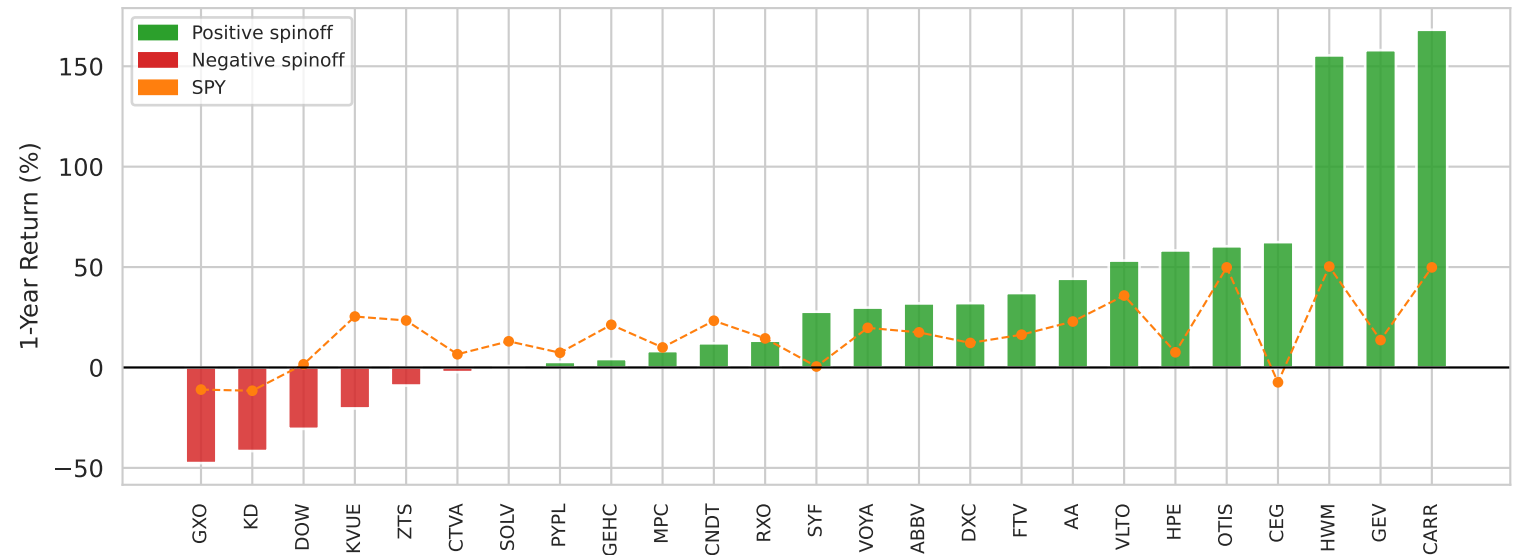
(b) Alpha Distribution



(c) Spinoff Return vs SPY (same window)

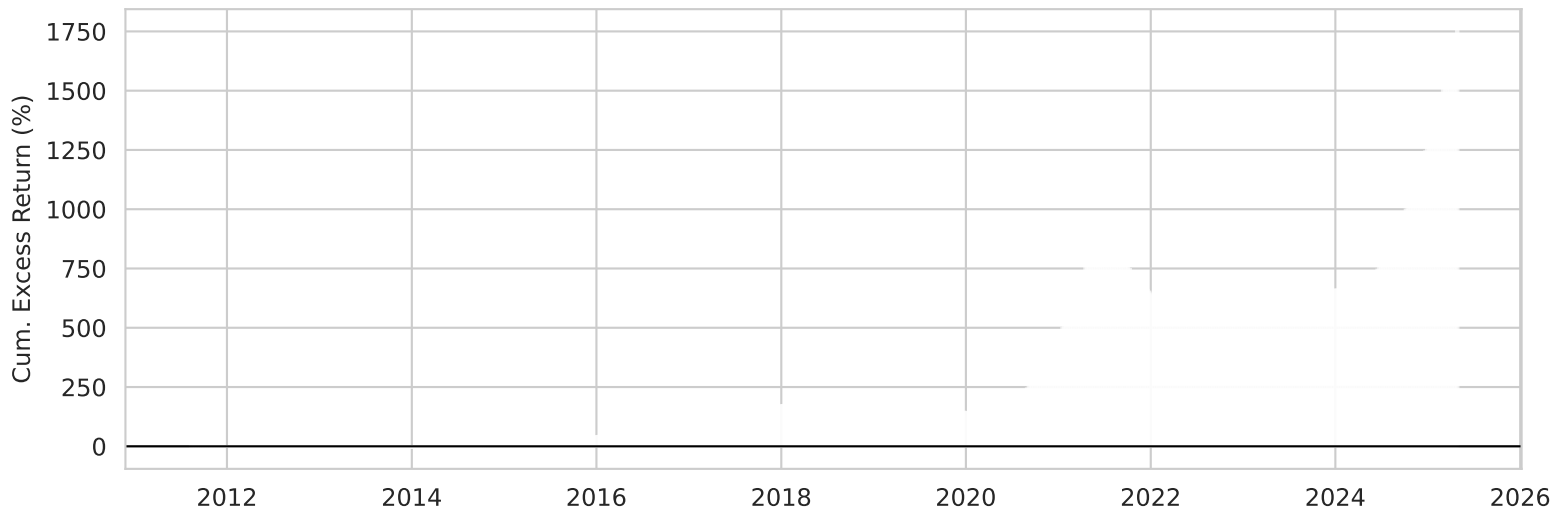
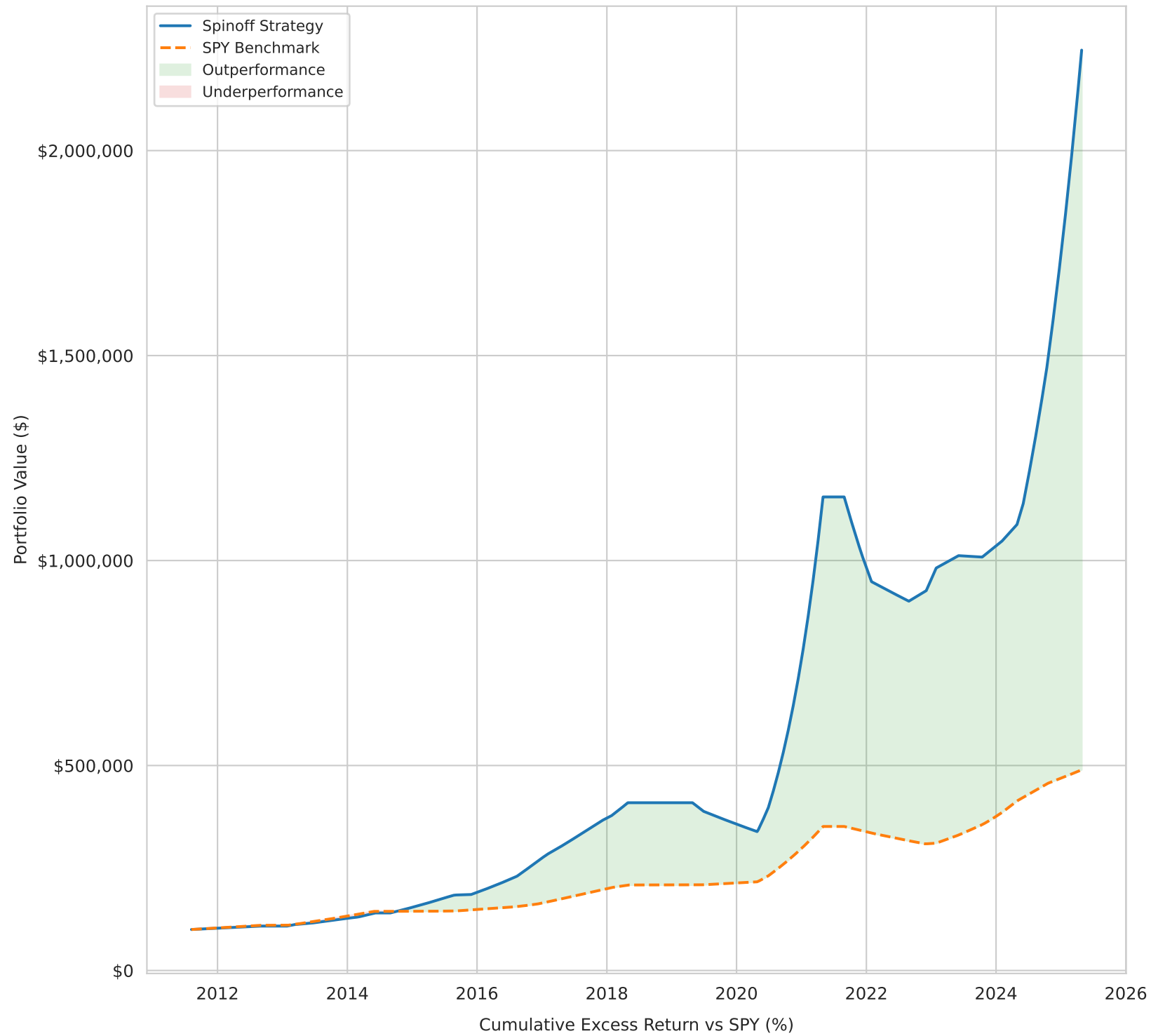


(d) Individual Trade Returns (sorted by spinoff return)



Portfolio Equity Curve

Cumulative Portfolio Value — \$100,000 Starting Capital
(Equal-weight, 1-year hold, rebalanced per trade)

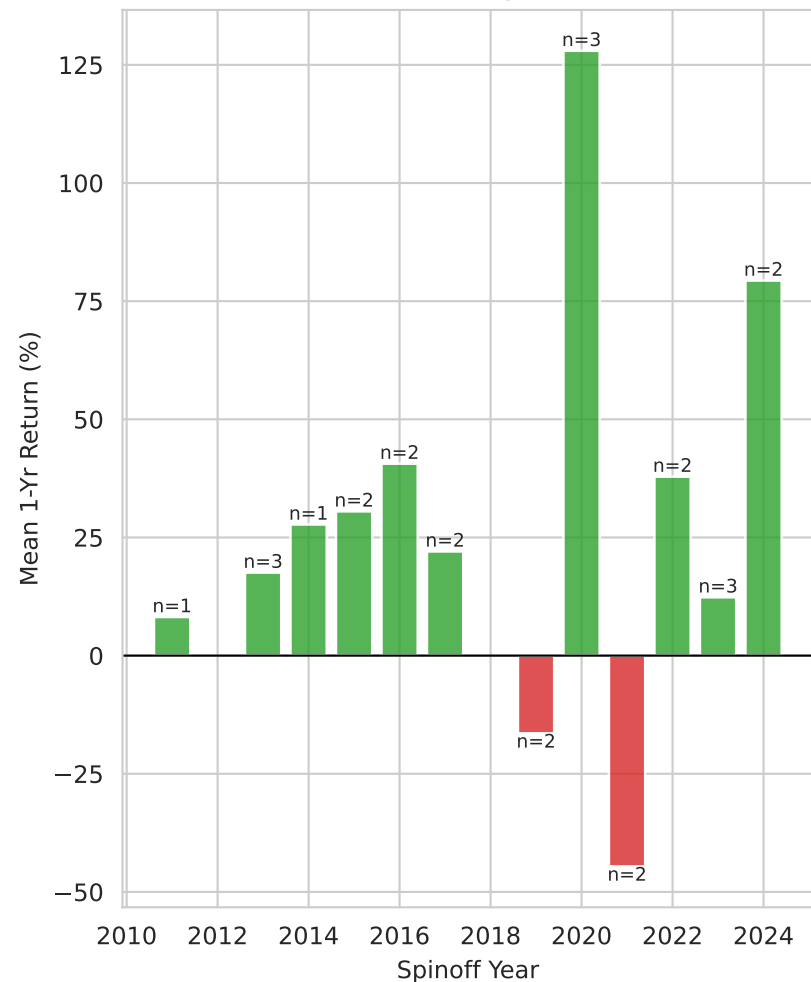


Complete Trade Log

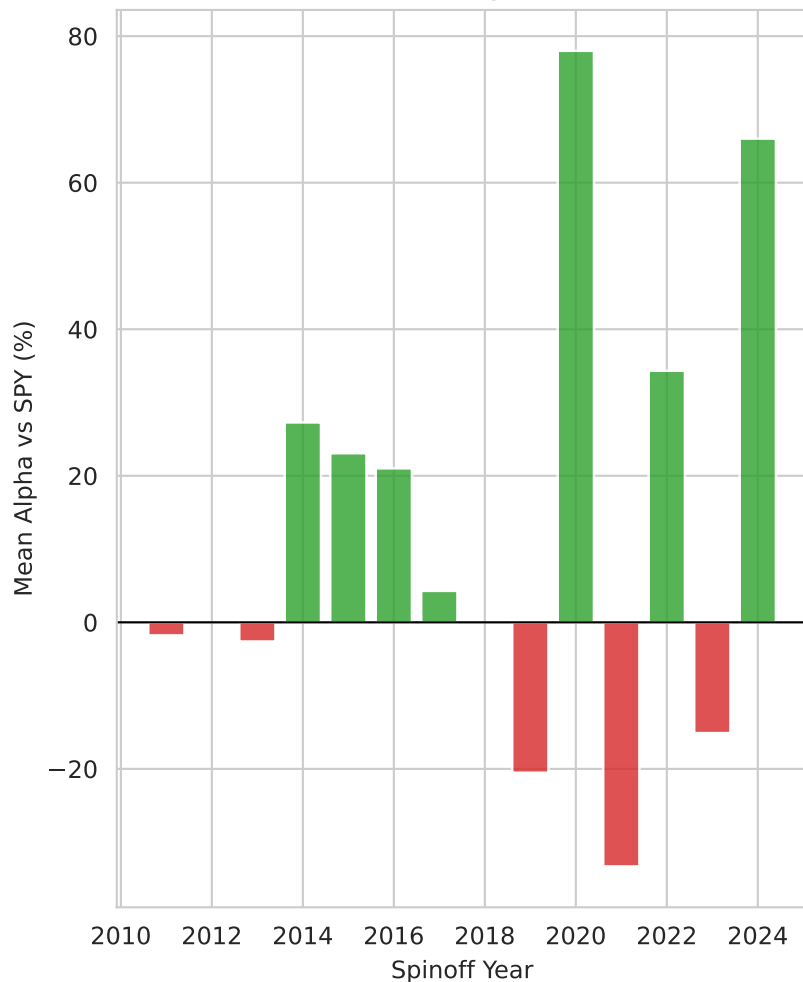
Ticker	Spinoff	Entry	Exit	Ret	SPY	Alpha	Status
MPC	2011-07-01	2011-08-01	2012-07-30	+8.2%	+10.0%	-1.8%	CLOSED
ADT	2012-09-28	—	—	—	—	—	NO_DAT
ABBV	2013-01-02	2013-02-01	2014-02-03	+31.9%	+17.5%	+14.4%	CLOSED
ZTS	2013-02-01	2013-03-04	2014-03-03	-9.0%	+23.4%	-32.4%	CLOSED
VOYA	2013-05-02	2013-06-03	2014-06-02	+29.8%	+19.7%	+10.1%	CLOSED
SYF	2014-07-31	2014-09-02	2015-08-31	+27.8%	+0.5%	+27.3%	CLOSED
BXLT	2015-07-01	—	—	—	—	—	NO_DAT
PYPL	2015-07-20	2015-08-19	2016-08-18	+2.8%	+7.3%	-4.6%	CLOSED
HPE	2015-11-02	2015-12-02	2016-12-01	+58.3%	+7.6%	+50.7%	CLOSED
FTV	2016-07-02	2016-08-01	2017-08-01	+37.1%	+16.3%	+20.8%	CLOSED
AA	2016-11-01	2016-12-01	2017-12-01	+44.2%	+22.9%	+21.3%	CLOSED
CNDT	2017-01-03	2017-02-02	2018-02-02	+12.1%	+23.3%	-11.2%	CLOSED
DXC	2017-04-03	2017-05-03	2018-05-03	+32.1%	+12.2%	+19.8%	CLOSED
DOW	2019-04-01	2019-05-01	2020-04-30	-30.6%	+1.6%	-32.2%	CLOSED
CTVA	2019-06-03	2019-07-03	2020-07-02	-2.3%	+6.6%	-8.9%	CLOSED
HWM	2020-04-01	2020-05-01	2021-05-03	+155.4%	+50.3%	+105.2%	CLOSED
OTIS	2020-04-03	2020-05-04	2021-05-03	+60.4%	+49.8%	+10.5%	CLOSED
CARR	2020-04-03	2020-05-04	2021-05-03	+168.2%	+49.8%	+118.3%	CLOSED
GXO	2021-08-02	2021-09-01	2022-09-01	-47.6%	-11.0%	-36.6%	CLOSED
KD	2021-11-04	2021-12-06	2022-12-05	-41.6%	-11.6%	-30.0%	CLOSED
CEG	2022-01-03	2022-02-02	2023-02-02	+62.4%	-7.4%	+69.8%	CLOSED
RXO	2022-11-01	2022-12-01	2023-12-01	+13.3%	+14.5%	-1.1%	CLOSED
GEHC	2023-01-04	2023-02-03	2024-02-05	+4.2%	+21.3%	-17.0%	CLOSED
KVUE	2023-05-04	2023-06-05	2024-06-03	-20.4%	+25.4%	-45.8%	CLOSED
VLTO	2023-09-14	2023-10-16	2024-10-14	+53.2%	+35.8%	+17.4%	CLOSED
SOLV	2024-04-01	2024-05-01	2025-05-01	+0.7%	+13.0%	-12.3%	CLOSED
GEV	2024-04-02	2024-05-02	2025-05-02	+158.0%	+13.7%	+144.4%	CLOSED

Deep-Dive Analysis

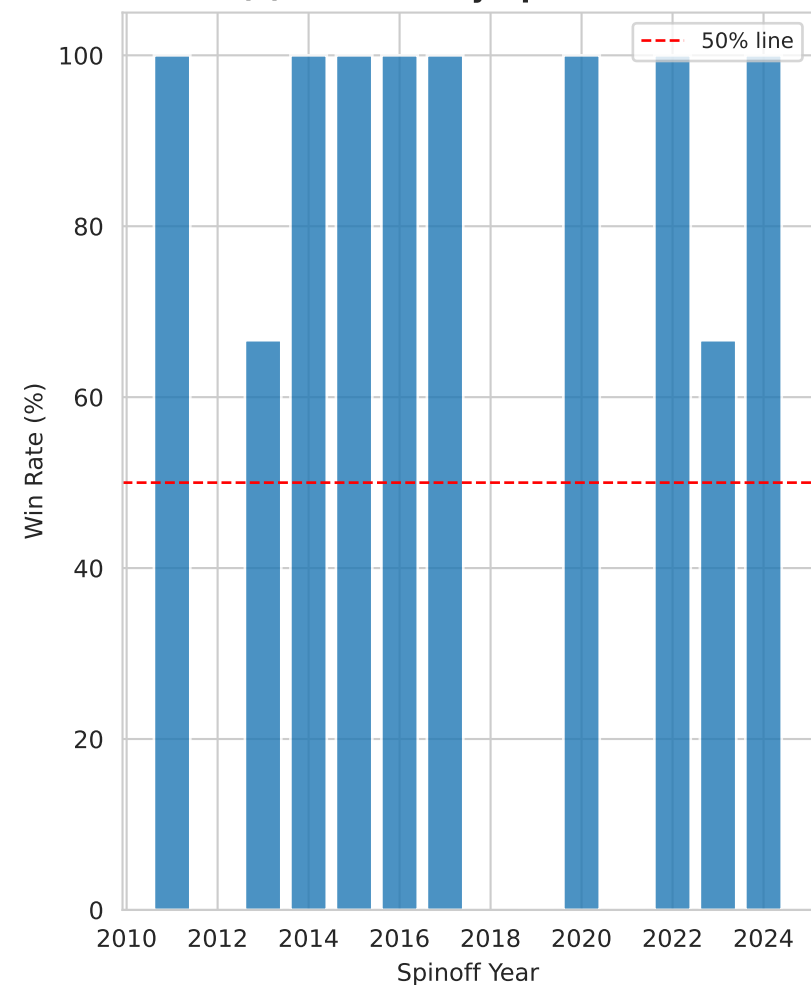
(a) Mean Return by Spinoff Year



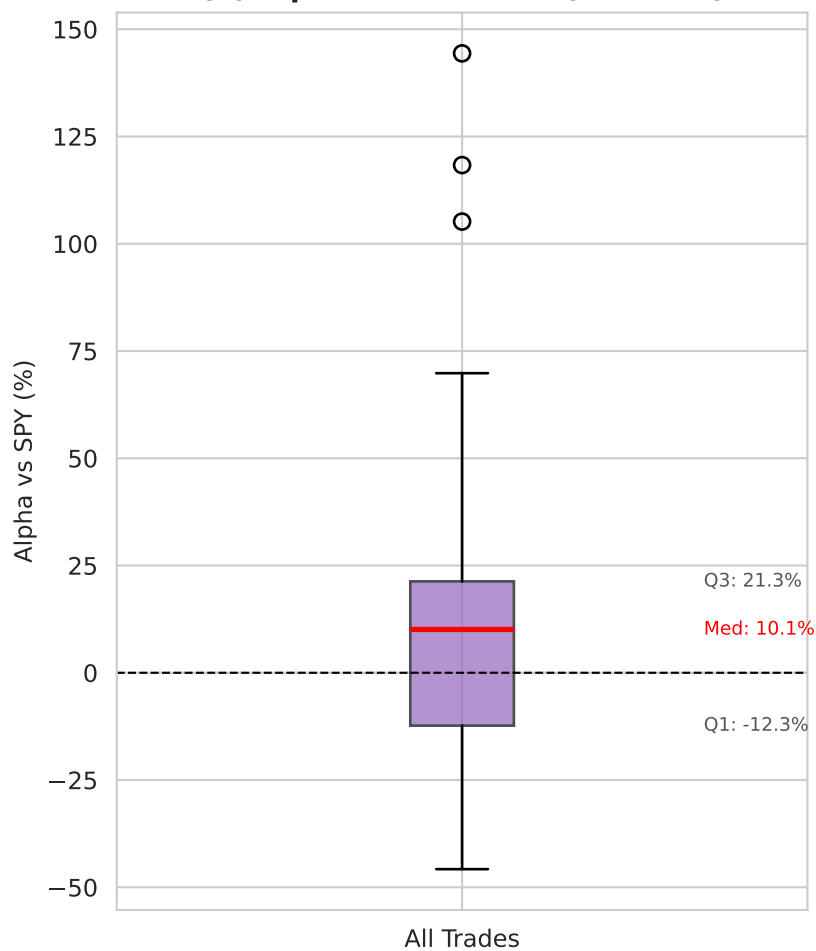
(b) Mean Alpha by Spinoff Year



(c) Win Rate by Spinoff Year



(d) Alpha Distribution (Box Plot)



Strategy Rationale & Methodology

WHY SPINOFFS OUTPERFORM

1. **FORCED SELLING** — When a company spins off a subsidiary, shareholders of the parent receive shares in the new entity whether they want them or not. Index funds must sell if the spinoff is too small for their mandate. This indiscriminate selling creates artificially depressed prices unrelated to business fundamentals.
2. **ANALYST NEGLECT** — Spinoffs receive little sell-side coverage initially. As analysts initiate coverage over the following 12–18 months, institutional interest builds, and the stock re-rates to fair value.
3. **MANAGEMENT ALIGNMENT** — Spinoff management teams typically receive fresh equity compensation tied to the standalone stock. This creates strong incentives to improve operations, execute buybacks, and communicate clearly with investors.
4. **FOCUSED STRATEGY** — No longer constrained by a conglomerate parent, spinoffs can pursue focused strategies, divest non-core assets, and optimize capital allocation.

ACADEMIC EVIDENCE

- Desai & Jain (1999): Spinoffs outperform market by $\sim +25\%$ over 3 years post-separation.
- McConnell & Ovtchinnikov (2004): Spinoffs earn $+20\%$ alpha in year 1, fading by year 3.
- Chemmanur & Yan (2004): Spinoff effect strongest for firms with high information asymmetry.
- Miles & Rosenfeld (1983): Announcement returns $+3.5\%$ for parent, spinoff undervalued.
- Greenblatt (1997): The '30-day rule' — wait for forced sellers to finish before buying.

STRATEGY RULES (COMPLETE)

ENTRY: Buy the spinoff stock 30 calendar days after its first day of trading.

This lag ensures the bulk of forced/index selling is complete.

EXIT: Sell exactly 365 calendar days (≈ 1 year) after entry.

Academic research shows alpha peaks around 12–18 months; we capture year 1.

FILTER: Parent company must have been an S&P 500 constituent at spinoff date.

This ensures the spinoff is institutional-grade and data-available.

SIZE: Equal dollar weight per trade. No leverage.

BENCH: Total return SPY over the identical entry-to-exit window.

RISKS & LIMITATIONS

- Spinoffs can fail — some trade to zero (e.g., Mallinckrodt, Conduent).
- Survivorship bias: companies with no tradeable data excluded (5 of 27 universe).
- Transaction costs not modelled — spinoffs often have wide bid-ask spreads initially.
- Sample size is small (~ 20 completed trades); statistical significance is limited.
- Strategy works best in bull markets; alpha shrinks in bear markets.